

Ecovia <> ShARE – Restructured Rewards Program

Overview of problem-solving approach

Rewards Systems Case Studies

Instant Rewards

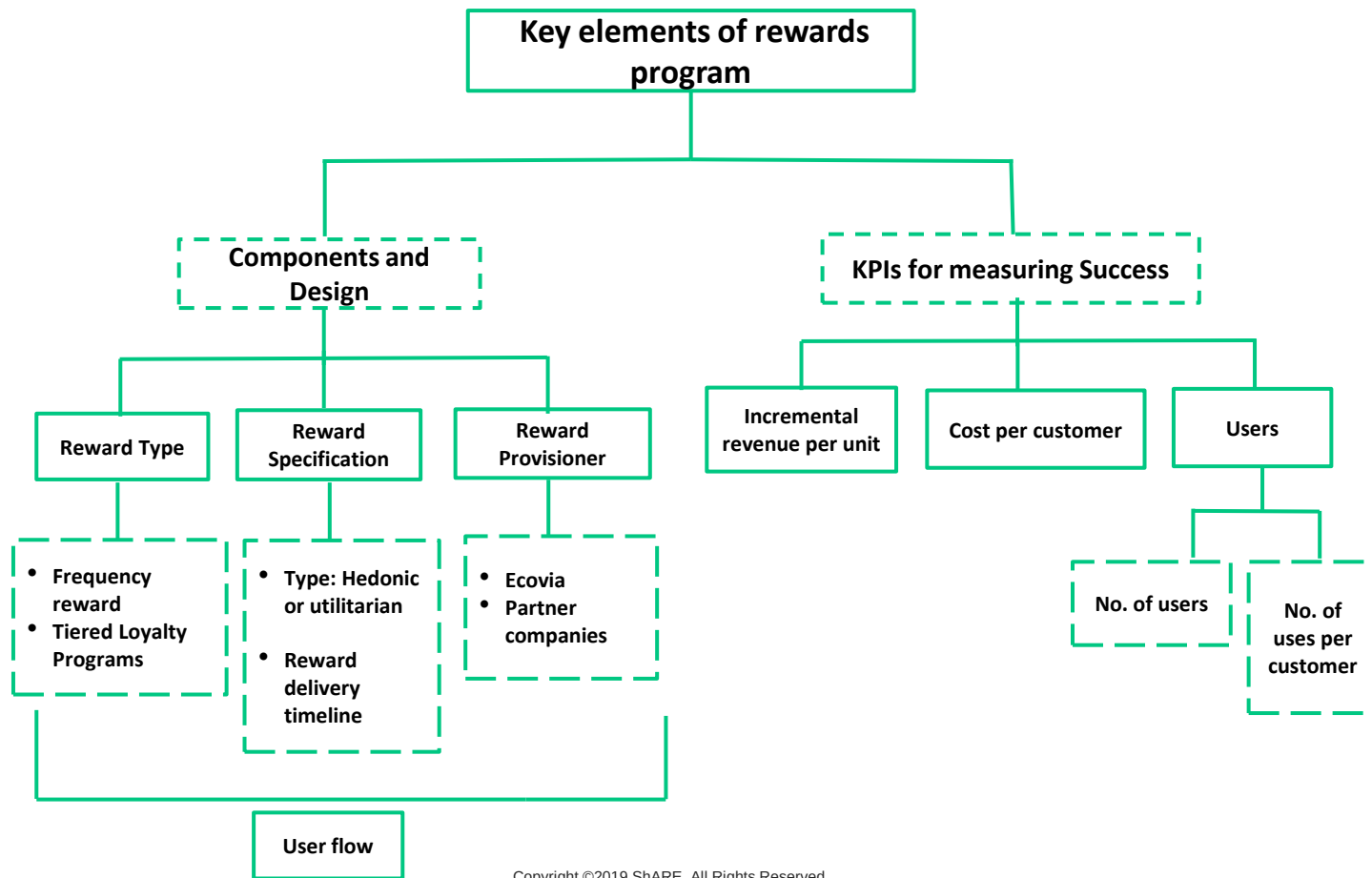
Paid Programs

Points-based Systems

Scoring Framework to compare alternatives

Implementation of points-based rewards program

A two-pronged approach was used to structure the foundation of Ecovia's revamped rewards program



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Google Pay (Tez) caused a massive boom in the UPI payments sector through its rewards, with the industry growing 8x in 4 months

Working Principles

- **Ecovia would provide rewards instantly in an interesting user interface.**
 - Accompanied by engaging UI like scratch cards
 - Inclusion of ecovia platform specific rewards
- **Rewards Involving Increased User Engagement.**
 - Multi Step Rewards: collect multiple of a kind of card to gain a special reward
 - Collectable Items: complete certain tasks (return your first bag, return 5 bags at once, return your 50th bag etc.) to collect cards which can be redeemed for rewards/cashbacks
 - Introducing a quiz feature: Customers need to answer a pop up questions to gain additional rewards. The questions can be about Ecovia or the partner brands to gain traction or just basic trivia.

Benefits

- **Brand Visibility**
 - Customers gain awareness of the ecovia's mission and products
 - New customers can see ecovia's mission
- **Industry growth.**
 - Having interesting UI and a well advertised rewards program has the potential to make ecovia the go to brand for packaging among large e-commerce platforms
 - Growth and awareness about the industry as a whole will naturally result in growth of the pioneer ecovia, as seen in the case of Google Pay (Tez)
- **Users would be incentivised to return bags at a higher rate and as ecovia desires to gain instant rewards provided on the platform**

Challenges

- **This system is extremely dependant on Ecovia's investment in platform development and quality of the same, snags in user experience can cause the move to be not as profitable as expected**
- **Strong collaborations with partner brands is required in order to get the requires frequency and quality of rewards**
- **Ecovia would have to be willing to provide rewards independent of its partner brands to attract more engagement with ecovia's story, goals and platform**

Instant gratification, dopamine release through Google Pay rewards have enabled high customer acquisition and consistent retention

PROFILE OF THE PROGRAM

- **Owner:** Google (Alphabet)
- **Revenue:** \$4.5B (2021).
- **Geographic presence:** Worldwide
- **Number of users:** 220M (2021)



HIGHLIGHTS OF THE PROGRAM

Presence in India

- **Launched in India in 2017. with 220M users 2021**

Features

- **Google pay, formerly known as Tez was an amalgamation of the Tez gateway and the Android wallet after the conceptualization of UPI after demonetization in India**
- **It surpassed its competitors to acquire 37% of the market share in India by 2021**
- **Google pay partners with brands to offer coupons and other rewards to users upon completing transactions on their platform**
 - Brands include high profile partners like:
 - Swiggy
 - Zomato
 - Audible
 - Boat
 - Kodak
 - Dream 11

TYPES OF REWARDS OFFERED

Coupons

- **Offers from partner brands**
 - Google Pay has created partnerships with many major indian brands
 - These brands offer coupons to google pay users as a means to increase traction and promote purchases on their platforms
 - Seeing known brands increases the inherent value of the rewards themselves

Promissory Rewards

- **Rewards are promised on future transactions**
 - Often the coupons are simply a promise on a significant reward on the next transaction
 - Incentivises users to go about the next transaction in a way google pay desires
 - 3-30 Rs cashback on next merchant payment

Milestone Rewards

- Milestone rewards are potential cashbacks after a specific number of transactions
- Cashbacks are a major incentive for users to continue on the app
- Incentivises users to continuously use and not uninstall the application
- Maximum reward advertised as INR 1 lakh, the anticipation of which is a reason to stay on the app

Blank Coupons

- **“Better Luck Next time”** coupons are the most essential part of the rewards program
- **50-70%** coupons are of this type
- Increases dopamine release and keeps people hooked to the game
- Results in a sense of achievement on receiving a reward
- Significantly decreases costs as no reward is attached to the coupon

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A paid premium program would develop customer loyalty, incentivize returns, increase the likelihood of future purchases by 60% and offer the option of free rewards for non-members

Working Principles

- **Ecovia would offer a premium membership to customers who are willing to pay for it.**
 - More attractive reward options for premium users, such as better discounts or cashbacks, or coupons that expire after a longer time
 - Provision of select features to members, such as surprise rewards, free samples with orders and birthday discounts to make them feel special
 - Promotional codes from the partner brands and gift cards could also be used to gain members
- **Free premium rewards on the next purchase or the next two purchases could be offered to non-members.**

Benefits

- **Extra revenue gained from a paid program would help fund cashback rewards and better rewards.**
- **Members of paid loyalty programs are 60 percent more likely to spend more on the brand after subscribing.**
 - More attractive reward options for premium users, such as better discounts or cashbacks, or coupons that expire after a longer time
 - Members would be incentivized for returns at the prospect of preferred rewards and a better selection of rewards
 - Customers are more likely to spend on future purchases and opt for Ecovia packaging after paying for a membership
 - Development of higher purchase frequency, basket size and higher brand affinity compared to freely offered rewards which would also benefit the partner brands
 - Lock high-value customers into Ecovia's ecosystem, with membership benefits causing customers to develop an affinity for Ecovia independent of its partner brands
- **Free premium rewards for non-members would incentivize returns on the current purchase, and drive future purchases and returns, while attracting users to the membership.**

Challenges

- **Collaborating with partner brands to create an ecosystem of rewards when their products may be similar, and overcoming extra shipping costs on Ecovia bags**
 - Ecovia would have to be willing to provide rewards independent of its partner brands to attract and retain members
 - Attracting users to pay for a membership when Ecovia packaging often costs extra, with the revenue from extra charges going to the partner brands.
- **Free premium rewards, and the paid program needs platform development to communicate about the rewards to the customers preferably while placing orders**

Amazon Prime members receive various benefits and spend >2X more than non-members; new users acquired through exclusive events like Prime Day

PROFILE OF PAID PROGRAM

- **Owner:** Amazon
- **Revenue:** \$19.21B (2019).
- **Geographic presence:** Worldwide
- **Number of users:** 200M (2021)



HIGHLIGHTS OF PAID PROGRAM

Presence in India

- **Launched in India in 2016. with 10M members as of 2020**

Membership fees and features

- **An ecosystem of benefits : Free and faster shipping, access to entertainment etc.**
- **Plans offered:**
 - Monthly: ₹179
 - Quarterly: ₹459
 - Annual: ₹1499
 - Members can share benefits through an invitation or gift it
 - Benefits can be accessed through promotional codes from partner companies
- **A 30-day free trial is offered to non-members.**
 - Offered to users who haven't been members in the past 12 months
 - Users are charged for a membership at the end of the trial

BENEFITS OFFERED TO MEMBERS

Shipping Benefits

- **Members receive faster shipping for free on eligible items**
 - Unlimited one-day, two-day delivery to eligible pin codes
 - Discounted same-day and morning delivery

Prime Video and Music Access

- **Prime Video and Music access included with membership**
 - Prime Video: Around 24,000 movies and 2,100 TV shows
 - Prime Video can be accessed on up to 3 devices
 - Prime Music: 90M songs and over 15M podcasts
 - Prime Music offers ad-free music and free offline downloads
 - Content for various audiences in different languages

Deals and Offers

- **Exclusive discounts for members on products like clothing, books**
- **Amazon Prime Day: 2-day sale just for members**
 - More new customers tried Prime to be eligible for the sale
 - Good marketing: 74% of Americans have heard of Prime Day (2015)
 - 389 items purchased per second (2015)
- **5% reward points on Amazon Pay ICICI bank credit card for members, 3% for non-members**

Other Benefits

- Free in-game content on mobile games with Prime Gaming
- Special offers for members who share their child's birthdate
- Unlimited access to e-books on mobiles, Kindles with Prime Reading

The Starbucks Rewards loyalty program drove a 7% sales increase via order placement on the mobile app; rewards included free drinks, merchandise

PROFILE OF PAID PROGRAM

- **Owner:** Starbucks
- **Revenue:** \$10.61B (2019).
- **Geographic presence:** Worldwide
- **Number of users:** 16M (2021)



HIGHLIGHTS OF PAID PROGRAM

Presence in India

- **Launched in India in 2014. with 2,50,000 members as of 2017**

Membership fees and features

- **Customers register a Starbucks card by loading ₹200 on it**
- **Members earn 1 star for every ₹300 spent from the card in eligible stores, which translate into rewards**
- **3 levels in the program that receive different benefits and must earn stars to maintain it:**
 - Welcome level: Members who have registered the card
 - Green level: Members who earn 5 stars within 12 months
 - Gold level: Members who earn 25 stars within 12 months
- **Gift cards for the membership are also available, and members also get stars on referrals.**
- **Stars and rewards expire after a certain time to encourage members to use them**

BENEFITS OFFERED TO MEMBERS

Ease of transaction

- **Members can order and pay via the mobile app.**
 - This allows them to avoid lines to place orders by ordering ahead
 - As of 2019, the order-ahead feature was used by 35% of members in the U.S.
 - The app also allows them to track their stars and rewards

Gamified rewards

- **Bonus rewards or lifetime rewards by participating in Star Bingo or Starbucks for Life**
 - These games can be played on the app after every purchase
 - Users can win bonus stars or a game piece to win Starbucks for a day, a month or life
 - The games had 2.3M participants in 2016

Free food and beverages

- **Members receive a free tall size drink in the month of their birthday**
- **Stars can be redeemed for free food and beverages**
 - Eligible beverages and food items can be paid for with a certain number of stars
 - Free refills on select beverages
 - Free customizations or size upgrades on beverages
 - Free beverages on purchasing certain items

Other Benefits

- **Members in select locations can order by voice command to a chatbot**
- **Personalized offers on the app**
- **Double star days, where members can earn double the stars on the same purchases**

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A points-based reward program would prove most effective in increasing returns, user retention for Ecovia and its partner brands

Working Principle

- **Ecovia would reward users with a certain number of points after each return which users can redeem for offers, exclusive products or rewards from partner brands.**
 - Users get points based on how early they return the bag, with people returning early getting the most points.
 - Users then accumulate these points in a digital wallet and spend them to get offers and rewards from partner brands.
 - Exclusive products and offers can also be offered to Ecovia users by the partner brands as a way to increase adoption and for marketing purposes.

Benefits

- **Users get influenced to buy more from Ecovia to fulfill the points requirement.**
 - It is an easily recognizable format and the most understood due to its popularity among other brands.
 - Customers are more likely to opt for Ecovia packaging and Ecovia supported brands to get rewards.
 - This can lead to higher Ticket size, increased frequency of purchase and most importantly higher return rate.
- **Most Users do not collect enough points to claim a reward thus giving Ecovia quick returns for free.**
 - It provides a way to track and analyze customer behavior and use that data to continuously improve the program.
- **It is a Highly Flexible system in which you can assign reward points to a variety of behaviors that you want to reward.**
 - Opens the Possibility of incentivizing users to share and publicize Ecovia on Social Media, or give product reviews etc. in return for the reward points.
 - We can choose the value of the points distributed, thus having control on how generous or otherwise we want to be depending on the situation.

Challenges

- **Building a Digital Wallet and Online Store will require significant monetary and skill resources**
 - Ecovia would have to build a proper Digital Wallet and an Online Store, with partnership with different brands, even those apart from their existing partnerships
 - This would require a full fledged team to build and operate, which comes at a cost
- **This can lead to Loyalty to the discount rather than Loyalty to the Brand, which can affect the business in the long run, when a competitor offers a bigger discount or Ecovia's rewards feel hollow.**

CRED members are provided access to exclusive rewards and experiences from premier brands upon clearing their credit card bills using the app

PROFILE OF PAID PROGRAM

- **Owner:** CRED
- **Revenue:** ₹88.6 Cr (2021).
- **Geographic presence:** India
- **Number of users:** 6M (2021)



CRED

HIGHLIGHTS OF PAID PROGRAM

Presence in India

- **Launched in India in 2018. with 6M members as of 2021**

Membership features and conditions

- **CRED is selective about the members they take. For membership an Experian credit score of 750 or above is mandatory.**
- **As a CRED Member, you get many unique perks like:-**
 - automating your credit card bill payments
 - exposing hidden charges on your credit card with cred protect
 - getting real-time alerts of duplicate transactions on your credit card
 - managing multiple credit cards on a single portal
 - keeping a real-time check on your credit score
- **Rewards are Given to its members for clearing their credit card bills on time.**

REWARDS AND SCHEMES OFFERED TO MEMBERS

Cashbacks on Paying Bills

- **Cashbacks upto ₹1000 per month**
 - You can earn a scratch card after payment of atleast ₹1000
 - 5 scratch cards can be redeemed in a month with total amount upto ₹1000

Cred Coins to Redeem Gifts

- **Earn CRED coins equal to your credit card payment.**
 - When you pay your credit card bill on CRED, for every rupee cleared on your bill you earn a CRED coin.
 - You can then use earned CRED coins to claim exclusive rewards from different brands.
- **Earn CRED Gems on referrals**
 - For every person you refer to CRED who makes a bill payment, you earn 10 gems

CRED Schemes

- **CRED RentPay**
 - allows you to pay your monthly rent with their credit cards, directly from the CRED app.
- **CRED Cash**
 - is the fastest and fully digital way to get credit, without the tedious application and verification processes of loans and at a third of the interest rate of typical credit cards
- **CRED Store**
 - allows CRED members to shop through their in-app e-commerce offering that is home to a selection of curated products
- **CRED Mint**
 - Helps CRED members to earn up to 9% of interest PA on idle money, which they can gain by lending to other CRED members with 730+ credit score

Flipkart's new Earned Loyalty reward program "Flipkart Plus" provides benefits to the consumers with a zero subscription fee

PROFILE OF PAID PROGRAM

- Owner: Flipkart
- Revenue: ₹43,356 Cr (2021).
- Geographic presence: India
- Number of users: 200M (2021)

Flipkart



HIGHLIGHTS OF PAID PROGRAM

Presence in India

- Launched in India in 2007. with 200M + members as of 2021

Membership features and conditions

- Flipkart's loyalty program Flipkart Plus requires no subscription fee but a regular purchase history.
 - You can earn 2 SuperCoins per ₹100 on a order placed on the platform upto a maximum of 50 SuperCoins per order.
 - For membership under this Program, You must have a minimum of 200 earned SuperCoins in last 365 days
- Retaining membership is easier than attaining it.
 - For every ₹100 spent on the Platform for an order, Plus members shall be eligible to earn 4 SuperCoins, upto a maximum of 100 SuperCoins per order.
- Membership under this Program will be valid for one year from the date of activation

REWARDS AND SCHEMES OFFERED TO MEMBERS

Payment of Bills by SuperCoins

- Cashbacks upto ₹1000 p.m.
 - Users will be able to make use of reward points earned on the platform to make full or part-payments in more than 5,000 retail stores across various categories

Delivery Benefits

- Free Delivery for Products on Flipkart.
 - Free delivery for F-assured products anywhere in India
- Faster Shipping
 - Preferential priority for Shipping and delivery of Products to Plus members.

Early Access

- Shop before others on sale events such as Big Billion Days, Big Shopping Days

Greater SuperCoin Earnings

- Earn 2x more supercoins than regular members
 - For every ₹100 spent on the Platform for an order, Plus members shall be eligible to earn 4 SuperCoins.
- Earn 2x more SuperCoins per order
 - Plus members shall be eligible to earn upto 100 SuperCoins per order

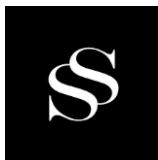
Miscellaneous Benefits

- SuperCoin Exchange
 - Allows customers to exchange their SuperCoins into the partner brand's rewards points and vice versa.
- Multi-Brand Collaborations
 - SuperCoins will work as a rewards ecosystem across more than 100 partner brands

'First Citizen', the flagship loyalty program of Shoppers Stop contributed to 78% of their revenue in FY21

PROFILE OF PAID PROGRAM

- **Owner:** Shoppers Stop
- **Revenue:** Rs. 2,142 Crores (2020).
- **Geographic presence:** India
- **Number of users:** 16M (2021)



HIGHLIGHTS OF PAID PROGRAM

Presence in India

- **Launched in India in 1994 with 8 million members as of 2020**

Membership fees and features

- A customer can sign-in for entry level classic moments card only by paying a membership fee of Rs 300.
- This loyalty program is based on a three-level system with a classic moments at entry level followed by the Silver Edge and Golden Glow levels
- Members who spend a minimum amount of Rs 10,000 and Rs 40,000 a year are upgraded to silver edge and golden glow levels respectively.
- Moreover, unlike other retailers providing a complimentary associate card to its members, the First Citizens requiring an associate card have to pay Rs 125.
- Stars and rewards expire after a certain time to encourage members to use them

BENEFITS OFFERED TO MEMBERS

Points

- Classic moments card members earn one point for every Rs 100 purchase value
- Silver Card members earn a point for every Rs 50 spent
- Gold card members earn a point for every Rs 34 spent

Partnerships

- A unique feature in this loyalty program is the extra reward points to silver and gold cardholders on purchase of preferred brands.
- Shoppers Stop also offers co-branded First Citizen-Citibank Titanium Credit Card to its members.

Other rewards

- Apart from points, all the members receive a range of regular benefits like Vehicle parking fee reimbursement, store updates, exclusive billing counters, sales days exclusively for members.
- Members also receive special offers on occasions such as birthdays and anniversaries.
- Shoppers Stop has introduced numerous innovative benefits exclusively for First Citizens such as 'Choose Your Sale Date' (an exclusive one-day sale for the customer), 'Choose Your Own Gift' etc. Recently, the store has also launched a First Citizen mobile app as well to create the 'First Citizen' experience on the mobile.

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A robust framework to compare alternatives based on KPIs will be used to select and design the optimal rewards program

	Instant Rewards	Paid Programs	Points-based systems
	<i>Google Pay</i>	<i>Amazon Prime, Starbucks</i>	<i>Cred, Flipkart, Shoppers' Stop</i>
Cost incurred per customer			
Incremental Revenue per customer			
Frequency of usage			
Average no. of uses per customer			
No. of secondary customers acquired			

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Focus on key stages of the user flow will enable Ecovia to maximize benefits from the proposed points-based rewards system

- Hover over '**Buy Now**' button: Dialog box explaining the concept of returnable bags
- **Improved return rate** resulting from better information dissemination to consumers

- Link to **Ecovia website** using WhatsApp bot
- Better user engagement, smoother communication
- Long term - QR code may be directly linked to the platform

Transaction check-out page on partner brand site

Initiating return via WhatsApp alert upon QR code scanning

Scheduling return through link to Ecovia platform

Return of bags through reverse logistics partner

- Message clearly on the bag: **"Return quickly for exciting rewards"**
- Outline rewards: Discounts, cashbacks, hedonic rewards
- Encourages users to **initiate returns faster**

- Initiate reward redemption once bag is picked up with **OTP verification**
- **Instant gratification**: Users will not have to wait for rewards; ensures **immediate and consistent** redemption of points

Suggestive mock-up highlighting key features of the rewards program that must be highlighted on Ecovia's new website

The left mock-up shows the 'Return and associated Reward description' page. It includes a header with 'Ecovia', 'About', 'Our Partners', and 'Menu'. Below the header is a quote: 'Quote or Graphic about how environmentally effective it is to return the bag'. The main content area has a section for 'Return and associated Reward description' with fields for 'Order ID', 'Preferred pickup date', and 'Preferred pickup time', and a 'Submit' button. To the right is a 'Digital Wallet' section showing 'Username', 'No. of Points accumulated', and 'Exciting Rewards'. Below this is a table for 'Reward Selection using points in wallet' with columns for 'Prize Description' and 'Prize Description'. A green circle highlights the 'Order ID' field, and a green box labeled 'Return Scheduling using date, time and location' points to the 'Preferred pickup date' and 'Preferred pickup time' fields. A green box labeled 'Reward Selection using points in wallet' points to the 'Reward Selection' table.

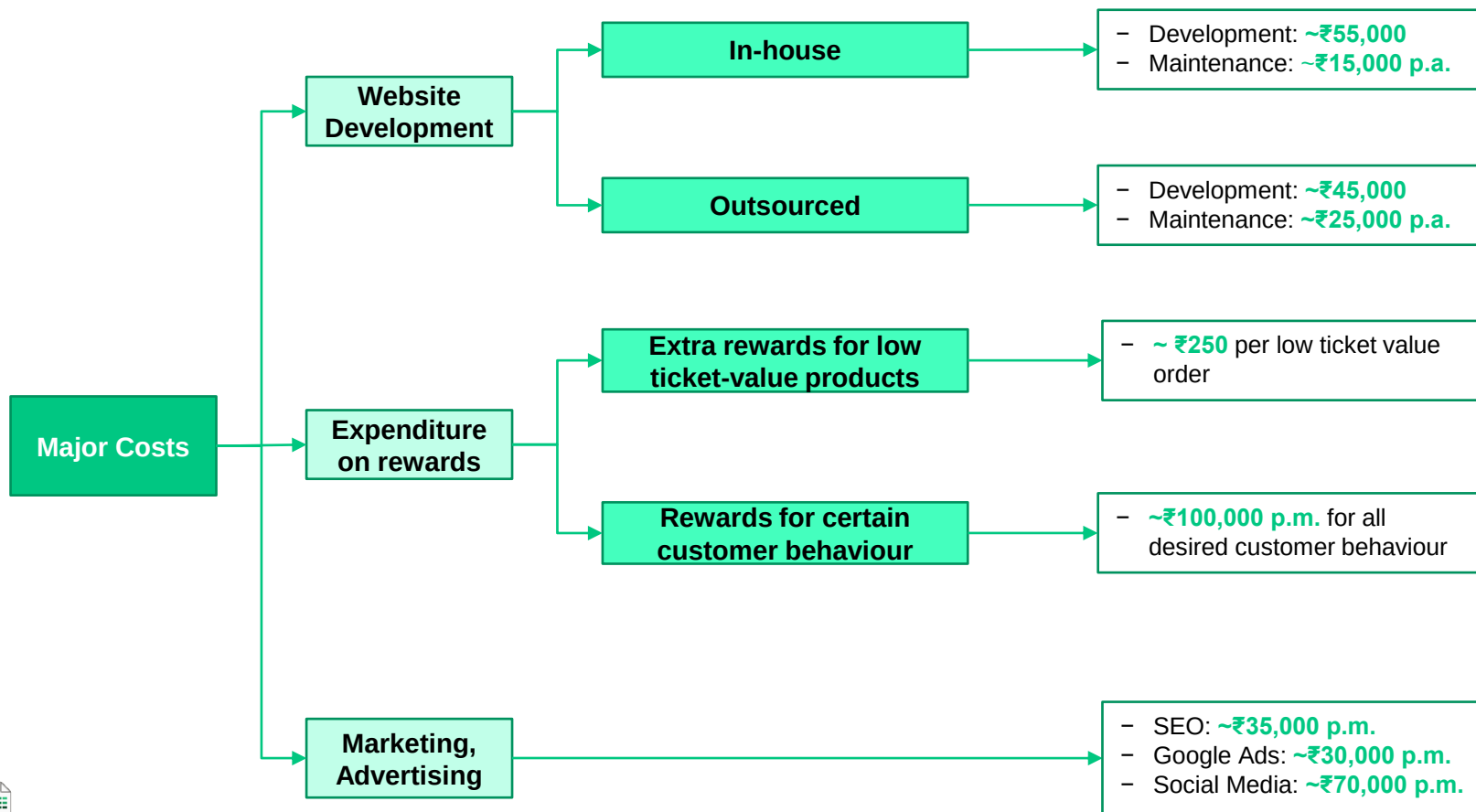
The right mock-up shows the 'Thank you and a Note with the environmental impact created by the return' page. It includes a header with 'Ecovia', 'About', 'Our Partners', and 'Menu'. Below the header is a 'Thank you and a Note with the environmental impact created by the return' section. The main content area has a section for 'Earn more points and climb up the leaderboard by giving us your valuable feedback' with a 'Question' field and a 'Submit' button. To the right is a 'Leaderboard' section showing 'Name' and 'Points' columns. A green circle highlights the 'Question' field, and a green box labeled 'Additional points earned by providing feedback' points to the 'Submit' button. A green box labeled 'Leaderboard displaying top 10% customers based on no. of points earned' points to the 'Leaderboard' section.

Additional methods of earning points:

- **Social media posts** with a specified “#”, clearly highlighting the bags and the partner brand's product
- **Milestone based rewards**; milestones may include –
 - Ranking in the **Top 5%** of users on the Leaderboard
 - Completing a **certain no. of returns** (E.g.: 10 returns)

Information about the above points can be displayed on the feedback page alongside the Leaderboard

Estimate of major costs incurred to sustain the restructured rewards program





THANK YOU